

AETHER

Payroll that runs itself.

An AI Workforce Operating System — not another payroll engine.
Built for 50–500 employee companies in healthcare, construction,
manufacturing, logistics, and multi-unit franchises.

\$16B

US HR & payroll
software, 2026

\$5.9B

Employer EWA
market, 2026

50–500

Employee wedge
where switching is real

4 wedges

Copilot · Tax · EWA
· Compliance

The thesis: stop selling payroll. Sell outcomes.

Payroll is table stakes

ADP, Paychex, Gusto, Rippling, Workday, OnPay, and Warp already process pay reasonably well. A better engine is not a company.

Buyers care about four outcomes

Save money. Reduce turnover. Improve cash flow. Eliminate admin. Everything else is feature theater.

The category to own

Autonomous Workforce Operations — payroll becomes invisible while the system runs compliance, labor cost, wellness, and hiring.

The question that expands TAM

Incumbents answer “how much should we pay?” Aether answers “how should we build, manage, optimize, and retain this workforce?”

What 50–500 employee operators actually feel

01

Admin tax

A payroll admin still babysits every run. Anomalies show up after money moves. Multi-state OT, prevailing wage, and leave rules are tribal knowledge.

02

Rear-view finance

Systems report last period. CFOs cannot see next payroll, quarterly tax, healthcare trend, or the true cost of three more technicians.

03

Turnover as a cash event

Frontline industries bleed people. Earned-wage stress and opaque benefits drive exits that cost 50–200% of salary to replace.

04

Money left on the table

WOTC, state hiring credits, training credits, and R&D payroll offsets exist. Most mid-market firms never claim them.

05

Compliance fear

NJ wage changes, local predictive scheduling, ACA tracking, and union rules update faster than HR can read. Penalties are the product.

06

Switching friction

Enterprises will not leave ADP. Sub-20 shops stay on Gusto. The 50–500 band feels the pain and can still move in one quarter.

Category: Autonomous Workforce Operations

Payroll is one module. The product is the operating system around it.



Payroll

Runs itself. Human approves exceptions.



Compliance

Federal, state, local rules applied continuously.



Benefits

Plan choice and contribution optimization.



Time

Schedules mapped to OT, premiums, CBAs.



Wellness

Coach on pay data, not generic advice.



Earned pay

Employer-funded liquidity, not a payday loan.



Recruiting

Headcount and ranges from live payroll truth.



Analytics

Workforce Health Score + labor forecast.



Tax engine

Credits and incentives that pay for the seat.



Marketplace

Accounting, banking, insurance, retirement.

The opening wedge — four products, one invoice

01

AI Payroll Copilot

Detects anomalies before the run. Explains them in English. Proposes the fix. “Maria’s OT is 42% above baseline — likely a schedule error. Approve correction?” Hours back every week.

02

Tax Savings Engine

WOTC, state hiring credits, training credits, R&D payroll offsets. “You qualify for \$18,400.” The software pays for itself in the first quarter for many mid-market firms.

03

On-demand pay, not loans

Employer-funded liquidity pool sized by AI cash-flow forecast. Lower fees than DailyPay-class products. Sold as a recruiting benefit, not a fintech upsell.

04

Compliance that updates itself

Continuous monitor of federal, state, and local changes. “New Jersey minimum wage changes in 45 days. Payroll rules updated.” The fear is the close.

What sits behind the wedge

Predictive labor cost	Forward payroll, quarterly tax, benefits trend, annual labor. “Hiring 3 technicians adds \$247k all-in.” CEO dashboard, not an HR report.
Workforce Health Score	One number: 87/100. Turnover risk, burnout, absenteeism, pay anomalies, comp competitiveness. Executives buy scores they can track.
Financial wellness coach	Built on actual pay, withholdings, and hours — not a generic app. “Adjust withholding and save \$4,200 this year.” Daily employee habit.
Benefits optimizer	Medical, HSA, retirement allocation recommendations from household + payroll context. Quiet thousands back to employees.
Recruiting from payroll truth	Growth in hours and overtime becomes a headcount forecast and a pay-range suggestion. Hiring is a module, not a separate ATS war.
Marketplace	Accounting, banking, insurance, retirement. Network effects after the core loop is trusted. Do not launch this first.

Do not fight ADP for the Fortune 500

Who

50–500 employees

Multi-state or multi-site

Hourly-heavy workforce

Owner-operated or PE-backed mid-market

Where

Healthcare & home care

Construction & trades

Manufacturing

Logistics & warehousing

Multi-unit franchises

Why them

Payroll is actually hard

OT, prevailing wage, leave, union

Turnover is a P&L line

Can switch in 30–90 days

Incumbents under-serve verticals

Who later

<20: Gusto gravity is real

500–2,000: after the score is trusted

Enterprise: partner, don't displace

International: year 4+, not year 1

Growth: employees become the sales force

PHASE 0

Design partners

20 firms in two verticals.
White-glove migration.
Measure hours saved,
credits found, EWA take-up,
NPS.

PHASE 1

Vertical specialists

Outbound + PE/franchise
networks + industry CPAs.
Sell tax savings + copilot.
Implementation in <30 days.

PHASE 2

Employee pull

EWA + coach live on day one.
Workers ask, "Can we
switch?" This is how
products spread inside
shops.

PHASE 3

Partner rails

Accountants, PEOs that want
an AI layer, banks, brokers.
Marketplace after the core
loop is default.

Pricing that matches the pitch

Base: \$10 PEPM all-in for payroll + copilot + compliance. Outcome layer: share of verified tax savings (example 15–20%) in year one, stepping down. EWA: employer absorbs or split-fee, always cheaper than loan-style products. No nickel-and-dime add-ons. The invoice should read like a result, not a module catalog.

Honest map — do not pretend these people are asleep

	Core payroll	AI-native ops	EWA	Tax discovery	Vertical depth
ADP / Paychex	Deep	Assist-layer	Partner	Thin	Broad, not deep
Gusto	SMB-easy	Light	Emerging	Thin	General SMB
Rippling	Strong	Workflow, not agent	Add-on	Thin	System-of-record
Warp	AI-first	Strong	No	No	Tech companies
DailyPay / Branch	No	No	Leaders	No	Enterprise EWA
Aether	Good enough	The product	Employer-funded	The wedge	5 industries first

Moat is workforce intelligence — not the ACH file

Compensation graph

Role × metro × industry × tenure pay distributions that get sharper with every customer. Public salary sites cannot see actual paid wages + OT + differentials.

Turnover models

Predict who leaves from hours volatility, EWA use, comp gap, schedule instability — then intervene before the two-week notice.

Labor-cost forecasts

Seasonality, census, benefits inflation, and jurisdiction mix trained on real runs. CFOs will not leave a model that has been right for eight quarters.

Compliance graph

A living map of federal / state / local / CBA rules tied to actual time punches. Harder to copy than a chatbot on top of a rule PDF.

Credit inventory

Which firms actually received which credits, in which states, with which documentation. Becomes a claiming engine, not a blog post.

Switching gravity

Once EWA, coach, and score live inside the workforce, ripping Aether out feels like ripping out the bank. That is the lock.

Build sequence — rent the rails, own the brain

Year 0–1	Partner the commodity	Payroll calculation, tax filing, and money movement via a modern rail. Do not spend the first 18 months becoming ADP's tax engine.
Year 0–1	Own the agents	Copilot, anomaly detection, compliance monitor, tax-credit scanner, labor forecast, Health Score. Human-in-the-loop on money movement.
Year 1–2	Own liquidity	EWA pool with bank partner. Underwrite employer cash-flow, not employee credit. Instant pay is a benefit. No payday-loan optics.
Year 2–3	Own more of payroll	Bring calculation in-house for the five verticals once volume justifies it. Keep a filing partner until the error budget is boring.
Year 3+	Marketplace + data	Third-party apps and anonymized benchmark feeds. Only after the OS is default in the wedge segment.

Unit economics a mid-market firm can feel

\$10

PEPM base
payroll + copilot + compliance

15–20%

of verified tax
savings, year one

<30 days

to first live
payroll run

3–6 hrs

admin saved
per pay cycle

Illustrative 180-employee construction firm

Software	\$21,600 / yr base · vs. \$35–80k all-in on quoted mid-market stacks
Tax credits found	\$18k–\$60k typical if WOTC + state hiring + training apply — software is often free
Admin time	3–6 hours/cycle × 26 cycles × loaded \$45/hr ≈ \$3.5k–\$7k recovered
Turnover	One avoided hourly replacement (~\$8k–\$15k fully loaded) pays for years of seats
EWA	Recruiting and attendance lift; employer cost is float + small fee, not interest income

What can kill this — and the counter

Payroll is a trust business

One missed tax deposit ends the company. Counter: partner a proven filer until error rates are boring; insurance; dual-control on money movement.

Rippling + Warp + ADP Assist

Incumbents will ship copilots. Counter: vertical rules + tax engine + employer-funded EWA + score. Bundle, not a chatbot.

EWA regulation

States are still writing the rules. Counter: employer-funded, no consumer credit, no payday APR. Stay on the safe side of every statute.

Tax-credit policy risk

WOTC has sunset history. Counter: diversified credit inventory (state, training, energy, R&D payroll). Never make one credit the business.

Implementation graveyard

HCM dies in migration. Counter: 30-day vertical playbooks, parallel-run two cycles, concierge for first 50 logos.

Data + liability

Pay data is the most sensitive dataset a firm has. Counter: SOC 2 from day one, least-privilege agents, audit every pay action.

THE SHIFT

From “how much do we pay?” to “how do we run this workforce?”

A particularly strong first bundle is payroll + AI compliance + earned wage access + tax-savings discovery + workforce analytics. That solves real executive pain and is a wedge into SMB and mid-market that ADP and Gusto cannot copy in a quarter.

AETHER

Autonomous Workforce Operating System

Payroll that runs itself.

Deep-dive concept bible — product, market, architecture, economics, GTM, risks, and an 18-month build sequence. August 2026. Confidential concept. Not a live company, not a solicitation, and not a claim of customers, filings, or certifications.

Opening bundle: payroll + AI compliance + earned wage access + tax-savings discovery + workforce analytics.

1. The argument

Most payroll startups fail because they build a better payroll engine. ADP, Paychex, Gusto, Rippling, Workday, OnPay, and newer AI-native players such as Warp already handle the mechanics of paying people reasonably well. The market does not have a calculation shortage. It has an outcomes shortage.

Employers do not wake up wanting a new payroll vendor. They wake up wanting to save money, stop losing people, see next quarter's labor cost, and stop babysitting compliance. Aether is an AI Workforce Operating System. Payroll processing becomes almost invisible. The platform runs the work around payroll: anomalies, tax credits, earned wages, benefits choices, hiring signals, and a single Workforce Health Score a CEO can read in ten seconds.

The first bundle is deliberate and narrow: payroll + AI compliance + earned wage access + tax-savings discovery + workforce analytics. That combination pays for itself, creates employee pull, and is hard for a horizontal HCM suite to copy as a coherent vertical product.

2. Market reality

Size of the pools

US HR & payroll software is about \$16 billion in 2026 (IBISWorld). US payroll services are a separate, overlapping pool in the high single-digit billions depending on definition, growing mid-single digits. Employer-sponsored earned wage access is the fast pool: roughly \$4.5B in 2025 to \$5.9B in 2026, with forecasts that put the category in the mid-teens of billions by 2030 if regulation does not clip it. Global EWA estimates vary wildly. Treat the direction as real and the point estimates as marketing.

Who already owns the room

ADP processed on the order of \$20B+ revenue in FY2025 with hundreds of thousands of clients. Paychex is a mid-single-digit billion business and absorbed Paycor. Gusto is near \$1B ARR. Rippling is growing fast off a unified employee record. DailyPay claims thousands of employers and millions of employees on EWA. Warp raised \$60M in 2026 to automate payroll, compliance, HR, and IT with agents, mostly for tech companies. Anyone who writes “nobody is doing AI payroll” is not paying attention.

The addressable beachhead

County Business Patterns 2023 counts US establishments with 50–99 employees at about 249,000; 100–249 at about 138,000; and 250–499 at about 38,000. That is establishments, not firms — multi-site companies appear more than once —

so the firm count in the 50–500 employee band is smaller but still hundreds of thousands of operating entities. The relevant subset is hourly-heavy, multi-state or multi-site operators in healthcare, construction, manufacturing, logistics, and multi-unit franchises. That is tens of thousands of firms, not millions. That is enough.

Where the hole still is

- Horizontal suites optimize for the employee record. They do not optimize for labor-cost decisions on a jobsite or in home care.
- Copilots are being bolted onto existing UIs. They are not running the pay cycle with a human gate.
- EWA is usually a partner overlay with consumer-fee economics, not an employer-funded liquidity product tied to cash-flow forecasting.
- Tax-credit discovery is a cottage industry of consultants. It is almost never inside the payroll run.
- The 50–500 employee band feels enterprise pain and can still switch in a quarter. That is the only beachhead that matters in year one.

3. Positioning

Category. Autonomous Workforce Operations. Not HCM. Not “modern payroll.” Not a PEO.

Tagline. Payroll that runs itself.

One sentence. Aether is the AI operating system that pays your people, flags the mistakes before money moves, finds the tax credits you are leaving on the table, and tells you what your workforce will cost next quarter.

What we are not

- Not a generalist HRIS trying to beat Rippling on device management.
- Not an EOR / global payroll company trying to beat Remote or Deel.
- Not a payday lender wearing a benefits badge.
- Not an enterprise displacement play against ADP Workforce Now or Workday.

4. Ideal customer

Firmographic

- 50–500 W-2 employees. Sweet spot 80–250.
- Multi-site or multi-state, or about to be.
- Hourly-heavy. Overtime, differentials, tips, prevailing wage, or per-diem actually happen.
- Owner-operated, independent sponsor-backed, or multi-unit franchise.

Verticals, in order

Healthcare and home care. Construction and skilled trades. Light manufacturing. Logistics and warehousing. Multi-unit food and services franchises. These industries share messy time rules, chronic turnover, and a compliance surface area that generic SMB payroll treats as an edge case.

Buyer map

Role	Job to be done	What they fear
Owner / president	Know labor cost and stop leaking people	A switch that breaks Friday pay
CFO / controller	Forecast next three payrolls and tax	A surprise deposit or penalty
Office manager	Finish the run in an hour, not a day	Being blamed for a missed punch
Employee	Get earned wages and understand take-home	Fees that feel like a payday loan

Buyer and user are different people. Design for both or the deal dies after the demo.

Do not sell first

- Sub-20 startups. Gusto gravity plus simple single-state payroll.
- Pure salaried professional services with one state and no OT complexity.
- Public enterprise with a three-year Workday program. Partner later; do not pretend.

5. Product system

Ten modules. Only the first four ship in version one. The rest exist so the company knows what it is becoming.

5.1 AI Payroll Copilot — v1

Treat the pay run as an agent workflow with a human gate on money. Ingest time, schedules, prior runs, job codes, and jurisdiction. Score every line against that person's history and the crew's history. Surface a queue of exceptions in plain language, with a recommended action. Never auto-push a correction that changes net pay without an approval.

Example: “Maria’s overtime is 42% above her 12-week baseline. The Saturday shift looks like a clock-out miss against the posted schedule. Approve a correction to 8.0 hours regular, or keep as-is and note the reason.”

Precision is the product. Track true-positive rate on exceptions, false-positive rate (admin trust killer), and dollars of avoided over/underpayment. If the copilot is wrong twice in a way that hits net pay, the account is dead.

Exception object (canonical)

- source_id, employee_id, pay_period, earning_type, current_value, baseline_value, baseline_window
- suggested_value, dollar_impact_employer, dollar_impact_employee
- explanation_plain, confidence_internal (never shown), recommended_action
- approver_id, decision, reason_code, audit_hash, timestamp

5.2 Predictive labor-cost intelligence — v1

Forecast next payroll, quarterly employer tax, benefits run-rate, and annual labor under current headcount and under proposed hires. The model is last-twelve-months run-rate, seasonality, open requisitions, scheduled wage changes, and known tax/benefit inflation. Accuracy beats poetry. Publish forecast-versus-actual every cycle so the CFO learns to trust it.

Dashboard sentence: “Hiring three additional technicians in Edison increases annual fully loaded labor by \$247,000, including OT pattern and healthcare take-up.”

5.3 On-demand pay without loans — v1

Employees can move earned but unpaid wages before payday. The economic design is the product: employer-funded or bank-partnered liquidity pool; Aether underwrites the employer's cash cycle, not the worker's FICO; AI cash-flow forecast caps the pool so the company cannot be drained the week before tax deposit; fees below typical instant-pay consumer

products; free ACH in two days; instant for a small flat fee the employer can absorb; no rollover balance that looks like credit; no APR; no sale of worker debt.

Regulatory posture: treat EWA as wage acceleration inside an employment relationship, stay inside the safest state statutes, and do not get cute. States are still writing rules. If a design looks like lending in a given state, change the design.

5.4 Automated compliance AI — v1

Fear closes deals in this segment. Continuously map federal, state, and local rules onto the actual workforce: minimum wage, OT thresholds, predictive scheduling, paid leave, child-labor, prevailing wage, and posted-notice requirements. Year one: own the five verticals in the states those verticals actually operate. Do not claim “every ordinance in America” on day one.

Alert: “New Jersey minimum wage changes in 45 days. 62 employees are under the new floor on current rates. Payroll rules will update on the effective date. Approve the wage-floor increase now or on the statutory date.”

5.5 Workforce Health Score — v1.1

A proprietary 0–100 metric. Inputs: turnover risk, schedule instability, absenteeism, pay anomalies, overtime load, comp versus local benchmark, EWA stress use, and span-of-control. The score is only defensible if it is predictive. Hold out a validation set. Publish hit rates on 90-day exits. If it cannot beat a naive “people who missed two shifts” baseline, kill the branding and keep the components.

5.6–5.10 Later modules

Financial wellness coach (v1.1). Withholding check, cash calendar from actual hours, debt payoff order using real net pay. Never sell the employee a high-interest product from the same screen that shows their wage.

Benefits optimizer (v2). Medical tier, HSA contribution, retirement allocation from household + payroll context.

Recruiting from payroll truth (v2). When OT and contractor spend cross a threshold, propose headcount, start window, and a pay range drawn from Aether’s paid-wage graph. Do not build a full ATS in year one.

Tax savings engine (v1, with the wedge). Scan workforce and entity against WOTC while it exists, state hiring/training/apprenticeship credits, R&D; payroll-tax offset for qualified small businesses (statutory cap historically \$500,000 against the employer Social Security portion for eligible firms), and industry-specific incentives. Output a packet and a filing path. Take a share of verified savings in year one, then step down. WOTC has sunset history — never make one federal program the business.

Marketplace (v3). Accounting, banking, insurance, retirement. Network effects are real and late. Do not launch an app store before the OS is trusted.

6. Experience design

Operator console

- Today: exception queue, cash position versus next tax deposit, Health Score, open compliance items.
- This cycle: approve / reject each exception with a reason code. One click to run.
- This quarter: labor forecast versus actual, credits in flight, turnover watchlist.

CEO / owner view

- Health Score. Next three payrolls. Credits found year-to-date. Sites that are on fire.
- No timesheet grid. If they want one, they are not the buyer.

Employee app

- Pay stub, next payday, earned-but-unpaid balance, instant / standard transfer.
- Coach card of the week. Benefits recommendation when enrollment opens.
- Schedule and punch if the employer uses Aether time; otherwise read-only.

Voice of the product: plain language, short sentences, numbers with denominators. Never “leverage.” Never a confidence percentage on a money movement.

7. Architecture and build order

Rent the rails. Own the brain. Embedded payroll-as-a-service APIs now exist specifically so a product company does not spend eighteen months becoming a tax engine. Check (Check HQ) is the reference rail: 50-state tax calculation and filing, money movement, new-hire reporting; partners own the product surface. Gusto Embedded, Salsa, and Zeal sit in the same class. Year-one Aether should pick one US rail, not invent a second ADP.

Window	Own	Rent
Year 0–1	Copilot, anomaly models, compliance pack for 5 verticals, tax scanner, forecast, Health Score, employee app	Calc, tax filing, ACH / paycards
Year 1–2	EWA underwriting + cash-flow cap, time module for clipboard verticals, CPA portal	Bank liquidity, filing partner
Year 2–3	In-house calc for one vertical once error budget is boring	Filing until missed-deposit risk is dull
Year 3+	Marketplace, anonymized benchmarks, 500–2,000 tier	Specialized filing jurisdictions

Check-class rails handle tax, money movement, and filings so Aether can spend year one on the agent layer.

Control plane

- Human dual-control on any file that moves money.
- SOC 2 Type I in flight immediately; Type II as soon as the clock allows.
- Every agent action that touches pay is audited: input snapshot, policy version, output, approver.
- No training of public models on identifiable payroll. Retention aligned to IRS and state record rules.
- Customer-level encryption. Least-privilege agents.

Reference data model (minimum)

- Legal entity, workplaces / jurisdictions, employees, employment periods, pay schedules.
- Time punches / imported time, earning codes, deduction codes, tax elections.
- Pay runs, line items, exceptions, approvals, filings, payments.
- Credit cases, documents, claim status, recovered dollars.
- Health Score snapshots, forecast snapshots, forecast-versus-actual.

8. Pricing

The invoice should look like a result, not a module catalog.

Component	Shape	Intent
Platform	\$10 PEPM, payroll + copilot + compliance	Simple enough to say on a call

Component	Shape	Intent
Tax engine	15–20% of verified credits, year one, then step down	Software pays for itself
EWA	Employer-absorbed or split flat fee; free standard rail	Benefit, not a loan book
Time	Included for v1 verticals	Stop losing punches
Wellness + score	Included	Daily habit + exec metric
Implementation	Fixed. First 50 logos concierged	Migration is the real competitor

Refuse per-module surprise fees, per-state surcharges that appear after the demo, and implementation quotes that double in week four.

9. Unit economics a customer can feel

Illustrative 180-employee construction firm. Directional, not a promise.

Line	Math	Why it matters
Software	$180 \times \$10 \times 12 = \$21,600 / \text{yr}$	Below quoted mid-market stacks
Credits	\$18k–\$60k if WOTC + state + training hit	Often funds the seat
Admin time	3–6 hrs/cycle $\times$ 26 $\times$ ~\$45 loaded	\$3.5k–\$7k back
One avoided quit	Hourly replacement \$8k–\$15k loaded	One save covers years
EWA	Float + small fee, employer-controlled	Recruiting, not interest income

Internal target once scaled: gross margin in the mid-70s on software PEPM, lower blended when EWA float and credit-share are included. Do not tell a Series A story off credit-share; policy can delete a credit. Software PEPM has to stand alone.

Company-side sketch (not a raise deck)

At 200 customers averaging 150 employees, PEPM software is about \$3.6M ARR before credit-share and EWA. That is a real business only if implementation is productized and support tickets per customer fall. Do not model 2,000 customers before twenty design partners have finished two parallel-run cycles.

10. Go-to-market

Phase 0 — design partners

Twenty firms, two verticals, one region. Start with the Mid-Atlantic / Northeast where NJ–NY–PA multi-state complexity is real. White-glove migration. Parallel-run two pay cycles. Measure hours saved, credits found, EWA take-up, forecast error, and whether the admin would go back.

Phase 1 — vertical specialists

Outbound to operators. PE and franchise networks. Industry CPAs and bookkeepers who already see missed credits. Sell the tax engine and the copilot. Implementation under 30 days or you do not deserve the account. Founder-led until ~40 customers, then vertical AEs — not generalist SaaS reps.

Phase 2 — employee pull

EWA and the coach are live on day one. Workers ask management to switch. This is the only organic motion that has ever worked in this category at SMB scale.

Phase 3 — partner rails

Accountants, select PEOs that want an AI layer rather than a rebuild, community banks, benefits brokers. Marketplace after the core loop is default.

The proof artifact in every deal

A credit scan plus a dummy exception queue on last month's data. If you cannot show dollars and mistakes on their file, you are selling a story. Lose fast if they need global entities, twenty union locals, or a two-year IT program.

11. 30-day migration runbook

Migration is the product. HCM companies die here.

Days	Work	Exit test
1–3	Entity, workplaces, bank, tax IDs, prior processor export	Legal entities and jurisdictions match reality
4–8	Employees, earnings codes, deductions, time source	Headcount and YTD reconcile to last stub
9–14	Shadow calc vs last two paid runs	Variance list owned; every gap has a reason
15–22	Parallel run #1 with copilot queue live	Admin completes queue in under two hours
23–28	Parallel run #2; tax preview; EWA pool cap set	Owner signs go-live
29–30	Cut over; prior vendor in 30-day freeze	First live pay + filing confirmation

Concierge for the first fifty logos. After that, the runbook has to stand without a human sitting at the office manager's desk.

12. Competition

Player	What they are	Where Aether differs
ADP / Paychex	Compliance depth, brand, distribution	Generic at 50–500; AI is assist, not operator
Gusto	Easiest SMB onboarding	Thins out when OT, multi-state, trades get real
Rippling	Unified employee record + IT	System of record, not labor-cost OS for dirty industries
Warp	AI-native payroll / HR / IT	Aimed at tech companies, not home care and jobsites
DailyPay / Branch	EWA leaders	Overlay, consumer-fee DNA, not the system of record
Credit consultants	Find WOTC and state credits	Not inside the pay run; not continuous
Check / Gusto Emb. / Zeal	Embedded payroll rails	Partners, not competitors — unless Aether tries to own filing too early

The honest threat is not one competitor. It is Rippling shipping a decent copilot plus ADP bundling EWA plus a vertical specialist in construction payroll doing “good enough.” The answer is the bundle and the data graph, not a single feature.

13. Moat

Not the ACH file. The moat is proprietary workforce intelligence that compounds — and it does not exist on day one.

- Compensation graph: role × metro × industry × tenure, built from paid wages, OT, and differentials.
- Turnover models trained on hours volatility, EWA stress use, comp gap, and schedule instability.
- Labor-cost forecasts that have been right for enough quarters that a CFO will not rip them out.
- A compliance graph tied to actual punches and CBAs in five verticals.
- A credit inventory of what was actually claimed and collected, with documentation patterns.
- Switching gravity once employees live in the app for pay and earned wages.

The operating plan for the dataset: design-partner volume, labeled exceptions, labeled exits, labeled credits. That is the asset.

14. Risks — keep this list on the wall

Payroll is a trust business. One missed tax deposit can end the company. Partner a proven filer. Insurance. Dual control. A public status page for filing.

Incumbents will ship copilots. They will. Win on vertical rules, the tax engine, employer-funded EWA, and the score as a bundle.

EWA regulation. Stay employer-funded, no consumer credit, no payday APR, full fee transparency.

Tax-credit policy. WOTC has been extended in bursts. Diversify the credit inventory.

Implementation graveyard. Thirty-day vertical playbooks. Parallel-run two cycles. Concierge for the first fifty logos.

Liability and security. This dataset is a gift to an attacker and a plaintiff's lawyer. Budget security like cost of goods.

Rail concentration. If the embedded payroll partner has an outage on payday, Aether owns the phone call. Dual-run a backup path before scale.

15. Team shape (first eighteen months)

- CEO / operator who has sold into dirty-workforce industries. Not only a SaaS generalist.
- Payroll operations lead who has lived through a failed filing. Scar tissue is the qualification.
- Applied ML / agent lead measured on exception precision, not demo wow.
- Compliance counsel plus a rules engineer. These are two jobs.
- Two vertical implementation people who will sit at the customer's office manager desk.
- A bank / treasury partner owner for EWA. Do not improvise money movement.

Do not hire a marketplace manager, a content brand studio, or a Head of AI with no payroll graph in year one.

16. What to build this week

- Pick two verticals and five states. Write the compliance graph for those only.
- Choose the embedded payroll rail. Sign the sandbox.
- Specify the exception object and the approval audit trail.
- Write the credit scanner as rules + retrieval against entity + workforce features. No LLM-only claiming.
- Design the employee earned-balance screen. If that screen is confusing, the consumer motion is dead.
- Draft the parallel-run runbook. Migration is the product.

17. Naming

Working name: Aether. Strong alternatives if trademark or domain blocks it: Runwell (clearest promise), Steward (trust + ops), Fieldwork (vertical honesty), Lumen (executive-readable). Avoid pure Pay- prefixes. They read as commodity payroll.

18. The sentence to keep

Most payroll companies answer: how much should we pay employees?

Aether answers: how should we build, manage, optimize, and retain this workforce?

That is the shift from a commodity payroll provider to an AI-powered workforce operating system. It is a larger market. It is also a harder company to build. The only honest way to start is the narrow bundle, the dirty verticals, and a copilot that is right more often than the office manager working late.

Aether. Payroll that runs itself.

Appendix A — sources used in this concept

Figures in this document are directional, drawn from public 2025–2026 industry reports and vendor disclosures available at the time of writing: IBISWorld HR & payroll software (~\$16B US, 2026); vendor revenue compilations for ADP, Paychex, Gusto, Rippling; employer-sponsored EWA market estimates (~\$5.9B in 2026); Census CBP 2023 establishment counts by employment size; IRS materials on WOTC and the R&D; payroll-tax offset; embedded payroll API documentation from Check and peers; and 2026 coverage of Warp, DailyPay, and Branch. Point estimates move. The product thesis does not depend on any single TAM slide.